

EQUITY RESEARCH

Arm Holdings plc

NASDAQ: ARM | Semiconductors — IP Licensing & Royalty

Investment Rating	12-Month Price Target	Reference Price	Risk Rating
SELL	\$48	\$307.49 (Oct 2, 2026)	High

Implied downside: -84%. Arm is the finest semiconductor IP franchise on earth — a 92.5% gross-margin toll booth on compute, with 350B+ chips shipped, 99%+ smartphone share and a data-center royalty engine now doubling year over year. **But the \$307 price needs ~\$92B of year-10 free cash flow — ~\$287B of FYE36 revenue at 32% FCF margins, roughly 11.5x management's own \$25B FYE31 bull plan.** Even flawless delivery of the bull case (\$81) leaves the stock ~74% overvalued. This is a wonderful business at a bubble price; our hardened 10-year DCF values it at \$48, and we would only get constructive near that level.

Key statistics			
Market cap / EV	\$328.4B / \$325.0B	P/E (trailing / FY27E)	~313x / ~140x
P/S (TTM) / EV/S (FY27E)	66.7x / 53.3x	Beta (5y)	3.89
Net cash	\$3.4B	52-week range	\$100 – \$453
Street consensus	Moderate Buy, ~\$306 target	FY2026 revenue	\$4.92B (+23%)

Analyst: Independent Equity Research | October 4, 2026 | All figures in USD. This report is research analysis, not personalized investment advice.

1. Investment thesis

What Arm is. Arm does not sell chips. It sells the *blueprints* — processor IP licensed to ~1,000 partners (Apple, Qualcomm, NVIDIA, Samsung, AWS, Google, Microsoft, Tesla) who design and manufacture their own chips. Revenue arrives twice: an upfront license fee when a design starts, and a per-chip royalty (a few percent of the chip's selling price) every time a chip ships — for the life of the product. It is the purest toll-booth model in semiconductors: ~92-97% gross margins, negative working capital dynamics, and a software ecosystem (22M+ developers) that makes switching ISAs prohibitively expensive.

The bull case: v9 + CSS royalty uplift is real. Armv9 commands ~5% of chip ASP vs ~2.5-3.5% for v8, and Compute Subsystems (pre-integrated CPU+memory+interconnect designs) roughly double that to ~10%. v9 is now >50% of royalty revenue; data-center royalties have more than doubled YoY; Arm claims ~50% CPU share among major hyperscalers (AWS Graviton, Google Axion, Microsoft Cobalt, NVIDIA Grace).

The second vector: first-party AGI CPUs. Arm is moving up the stack into its own datacenter silicon, with \$2B+ of committed customer demand across FY27-28 and management targeting \$15B of CPU revenue plus \$10B of IP revenue — \$25B total, >\$9 EPS — by FYE31. If delivered, this is a genuine new S-curve.

Why we say SELL: the price has eaten the plan and ordered seconds, then thirds. At \$307 / 67x sales, our hardened 10-year scenario DCF values the equity at \$48: bear \$17.22, base \$45.96, bull \$81.48. Our

reverse DCF shows the market demands year-10 free cash flow of ~\$92B — i.e. ~\$287B of FYE36 revenue at 32% FCF margins, roughly 11.5x management's own \$25B FYE31 bull plan. Even the bull case — a genuine quantum of execution — is 74% below the price. The old \$140 target rested on 3.5% perpetual growth at peak margins; the rebuild puts terminal growth at 2.0% on normalized margins and prices the 12% discount the risk demands (beta 3.89, Qualcomm litigation, RISC-V, related-party concentration). This is a SELL not because the franchise is broken, but because the price is a bubble. The overhangs are not priced: (i) Arm lost its defining lawsuit against Qualcomm (its #1 royalty payer) — final judgment Sept 2025, Arm appealing; Qualcomm's countersuit trial is expected in Q4 2026; (ii) Qualcomm bought RISC-V house Ventana (\$2.4B) and Meta pivoted MTIA to RISC-V — the open-ISA threat is moving from embedded to high-end; (iii) 30% of revenue comes from related parties (SoftBank \$192.9M, Arm China \$189.4M); (iv) first-party silicon carries ~30% gross margins vs ~95% for IP, so the mix shift mechanically dilutes the margin story.

2. Business overview: what the company does

Founded 1990 in Cambridge, UK; taken private by SoftBank (2016, \$32B); re-listed on Nasdaq in September 2023 at \$51/ADS (\$54.5B valuation) — the largest IPO of 2023. SoftBank retains ~86.4%. CEO Rene Haas (ex-NVIDIA) has driven the 'move up the stack' strategy since 2022.

Two revenue vectors:

Vector	FY2026	Growth	What it is
License & other	\$2.31B	+25%	Upfront fees for IP access; recognized as designs are licensed. ACV \$1.66B (+22%) is management's preferred normalized trend metric.
Royalty	\$2.61B	+21%	Per-chip % of ASP, recognized when partners ship. ~30B chips/yr run-rate implies a blended royalty of ~9c per chip — but a smartphone v9 SoC and a Neoverse datacenter CPU differ by 50-100x in royalty dollars.
Total FY2026	\$4.92B	+23%	Third consecutive fiscal year of 20%+ growth since IPO.

Quarterly rhythm is seasonal: Q4 (March quarter) is the strongest (FY26 Q4: \$1.49B, +20% YoY; non-GAAP operating margin 49%; non-GAAP EPS \$0.60), Q1 the softest. Q1 FY27 (June 2026) printed \$1.29B (+22%) with royalty \$715M and license \$574M — both up >20% — and non-GAAP EPS \$0.45 vs \$0.40 consensus, the 10th straight quarterly EPS beat.

3. Product portfolio evaluated under each pricing model

Arm monetizes the same underlying ISA through four distinct pricing models. Understanding the mix is essential, because each model has different margin, duration, and competitive dynamics:

Pricing model	Mechanism	Typical price	Economics
A. Architecture license (TLA) + per-chip royalty	Perpetual ISA license; partner designs custom cores; pays % of ASP per chip shipped	\$1-10M upfront; ~2.5-5% of ASP	The classic model (Apple, Qualcomm ALA). Highest strategic value; royalties last decades. v8 ~2.5-3.5% of ASP; v9 ~5%.
B. Subscription: Total Access / Flexible Access	Annual subscription to broad IP portfolio; pay for what you ship	ACV \$1.66B	56 Total Access customers (>50% of top 30); 329 Flexible Access. Smoother, recurring licensing; ACV +22% YoY.
C. Compute Subsystem (CSS) premium	Pre-verified RTL/GDSII subsystem (CPU + interconnect + memory); royalty uplift for integration value	~10% of ASP	16 licenses to 10 companies. Doubles royalty vs v9. Shortens partner time-to-silicon by ~12 months. Zena CSS won auto; first design win secured.

Pricing model	Mechanism	Typical price	Economics
D. First-party silicon (AGI CPU)	Arm designs and sells its own datacenter CPU; chip ASP model	~\$2k-5k ASP est.	~30%+ gross margin — a step DOWN from 95% IP margins. \$2B+ committed demand; first production revenue Q4 FY27 (~\$90M); supply-capped by TSMC capacity.

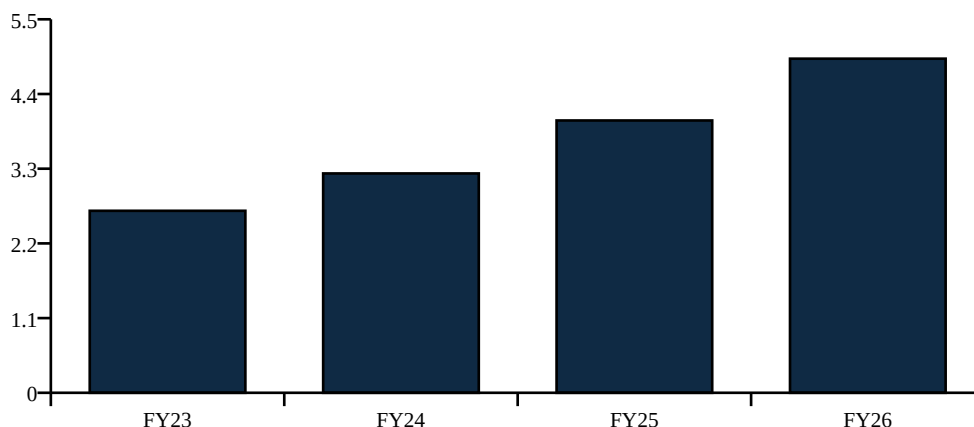
Product-by-product assessment:

Product line	End market	Pricing model	Assessment
Neoverse V3 / CSS (datacenter)	Cloud / AI	C (+ A)	Best asset. Royalty per CPU 2-5x a smartphone SoC; datacenter royalties >2x YoY; powers Graviton/Axion/Cobalt/Grace. The engine of the bull case.
Cortex-X / A + CSS (mobile)	Smartphones	A / C	Cash cow. >99% share, ~30B chips/yr, but smartphone units are flat and royalty exposure to low-end is a drag. v9 mix is the only growth lever.
Cortex-A720AE / Zena CSS (auto)	Automotive	C	Option value. Tesla, Rivian, NIO, Mercedes, Honda, Geely on platform; first Zena design win. Long cycle (5-7 yrs to royalty), but durable once in.
Cortex-M / R (embedded, IoT)	IoT / MCU	A / B	Defensive. Enormous volume at ~9c blended royalty; RISC-V's beachhead market. Flexible Access (329 customers) defends the long tail.
Mali / Immortalis GPU, Ethos NPU	Mobile / edge AI	A	Supporting cast. Relevant for edge-AI inference attach; not a standalone growth driver.
AGI CPU (first-party)	Datacenter	D	High risk / high reward. \$15B FYE31 target implies becoming a top-10 chip vendor from zero. Competes with customers (the 'Switzerland' model at risk); TSMC capacity is the binding constraint — \$20B demand vs \$1B secured supply.

Net read: models A-C are among the highest-quality revenue streams in technology — 95%+ incremental margins and decade-long royalty tails. Model D is strategically bold but economically dilutive: every dollar of CPU revenue at 30% gross margin replaces ~\$0.30 of 95%-margin IP royalty in the margin mix. The bull case requires the market to pay an IP multiple for silicon economics.

4. Financial situation

Revenue: FY2023 - FY2026 (\$B)



The P&L; is a study in operating leverage: revenue has compounded ~22% since FY23 while the cost base is overwhelmingly R&D; headcount. FY2026 gross margin was 92.5%; Q4 FY26 non-GAAP operating margin hit 49% — among the highest in semiconductors. GAAP profitability is masked by share-based compensation (trailing GAAP operating margin ~7.6%), but cash conversion is excellent: FY2026 free cash flow was \$882M (+396% YoY) and TTM FCF is ~\$1.3B. Balance sheet is fortress-like: \$3.9B cash, \$0.5B debt (\$3.4B net cash). No dividend; capital is reinvested in R&D; (non-GAAP opex ~\$734M in Q4 FY26, guided ~\$760M for Q1 FY27, growing a few points per quarter).

Quality flags an analyst must note:

Related-party concentration: 30.1% of revenue (\$388M) comes from related parties — SoftBank \$192.9M (+53% YoY, guided ~\$200M/quarter) and Arm China \$189.4M (-6%). The SoftBank line alone is 2.1x GAAP operating income. Design-services revenue from the controlling shareholder is not the same quality as third-party royalties.

Licensing lumpiness: license revenue (+29% in Q4) is deal-driven; management guides ~60% of FY27 licensing to the back half. ACV (\$1.66B, +22%) is the cleaner trend line — use it, not the quarterly license print.

Royalty deceleration watch: royalty grew only +11% in Q4 FY26 vs +21% for the year; Q1 FY27 re-accelerated to >20%. The mix (v9/CSS/datacenter vs smartphone) matters more than the headline.

5. Growth drivers and future projection

Datacenter / Cloud AI (primary): royalty >2x YoY; ~50% hyperscaler CPU share; agentic-AI workloads need 4x today's CPU capacity; management frames a \$100-120B CPU TAM by 2030.

v9 + CSS mix uplift (structural): v9 now >50% of royalties at ~2x the v8 rate; CSS doubles it again. Every point of mix shift is pure margin.

Automotive & edge AI (secondary): Zena CSS first win; >1/3 of global OEMs engaged; royalty tails are 7-10 years.

AGI CPU first-party silicon (the swing factor): \$2B+ committed demand; \$90M first production revenue guided Q4 FY27; \$15B by FYE31. Supply — not demand — is the constraint (TSMC capacity).

Our 10-year revenue scenarios (FY27 to FYE36, v2 model):

Scenario	Yr-10 revenue	10-yr CAGR	Yr-10 FCF margin	Assumptions
Bear (25%)	\$8.3B	5.3%	25%	CPU flops; CSS slow; ALA pricing weakened by litigation; RISC-V share gains. Revenue peaks FY33 then declines.
Base (50%)	\$21.9B	16.1%	32%	IP mix uplift compounds ~20% early, fades to ~9% by yr-10; CPU a modest second vector; margins normalize from a 36% peak.
Bull (25%)	\$32.3B	20.7%	33%	Haircut of management's FYE31 plan (~\$17B by FYE31: \$9B IP + \$8B CPU), then fades to 9%. Still 74% below the price.

6. Moat analysis

Software ecosystem (the deepest moat in semis): 22M+ developers, 350B+ chips shipped, and the entire mobile software stack compiled for Arm. Switching ISAs means rebuilding and re-validating the software world — a cost no OEM bears lightly. This is why 99%+ smartphone share has been impregnable.

Network effects / standards: tools, compilers, OS ports, and partner IP all target Arm first; each new licensee strengthens the standard.

Switching costs: a custom SoC is a 2-4 year, \$50-200M commitment; re-targeting to RISC-V re-opens verification risk. Only the largest players (Qualcomm, Meta) can afford the hedge.

Scale in R&D: Arm spends ~\$2.5B+/yr on CPU R&D; — more than any RISC-V vendor's revenue. The ISA is free; the *implementation* (Neoverse V3 vs an open core) is where the PPA gap lives.

Moat rating: **Wide** — but narrowing at the edges. The Qualcomm verdict and the Ventana/Meta RISC-V moves show the largest customers are now willing to pay the switching cost. The moat is deepest where software matters most (mobile, datacenter general-purpose) and shallowest in vertically-integrated AI accelerators and cost-driven IoT.

7. Competition

Competitor	Arena	Threat assessment
RISC-V ecosystem (SiFive, Ventana, T-Head, Andes)	IoT, auto, AI accel.	Rising — the structural threat. Royalty-free ISA; Qualcomm's \$2.4B Ventana buy (Dec 2025) and Meta's MTIA pivot to RISC-V (Rivos) move the threat upmarket. Claimed 25% embedded share (promotional data — treat with care). 5-10 year horizon for high-end compute, but it caps Arm's pricing power <i>today</i> in negotiations.
Qualcomm (Snapdragon / Oryon)	Mobile, PC	Customer-turned-adversary. Arm's #1 royalty payer; Arm <i>lost</i> the Nuvia lawsuit (final judgment Sept 2025; Arm appealing to 3rd Circuit; Qualcomm countersuit trial expected Q4 2026). The litigation was, in one analyst's phrase, 'the best marketing RISC-V ever got.'
Intel / AMD (x86)	PC, server	Losing share, not dead. Arm wins on perf/watt (Apple Silicon, Graviton, Cobalt); x86 defends legacy enterprise and high-single-thread. Arm's server push is share gain <i>from</i> x86 — a tailwind, not a threat.
Hyperscaler self-reliance (AWS, Google, Microsoft, Meta)	Datacenter	Partner and risk. All build on Arm ISA today (royalty payers), but each has the scale to go RISC-V or custom. Arm's defense: CSS shortens their time-to-market by ~12 months — value they can't easily replicate.
Apple (ALA)	Mobile / PC	Stable payer. Architecture license; designs own cores; deep ecosystem lock-in. Low churn risk.

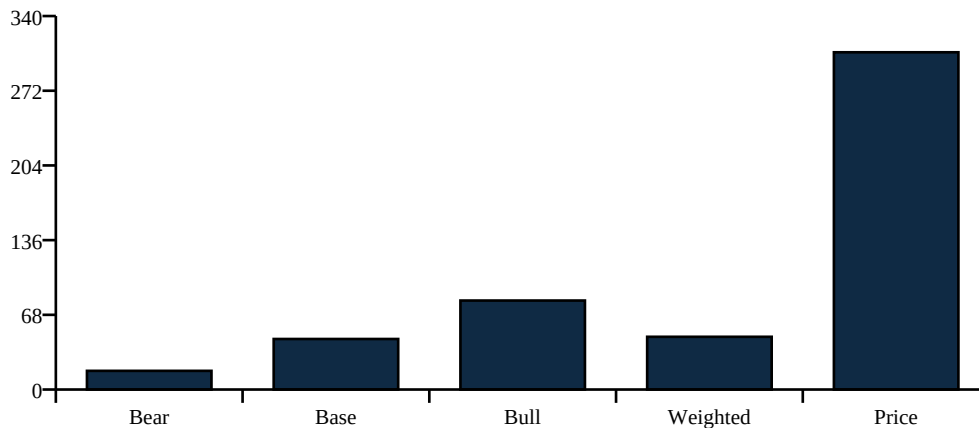
Bottom line: no competitor threatens Arm's core royalty stream in the next 3 years. The threat is to the *rate of royalty expansion* — large customers now have credible walk-away leverage (RISC-V + the Qualcomm precedent), which constrains Arm's ability to keep raising the take rate.

8. Valuation: the hardened 10-year DCF says \$48

We value Arm on a 10-year scenario free-cash-flow DCF (FY27–FYE36, weights bear 25% / base 50% / bull 25%), with scenario-specific discounts — bear 14.5% (base + 250bp), base 12.0%, bull 10.5% (base – 150bp) — and terminal growth of 1.0% / 2.0% / 2.5% on year-10 FCF at normalized mid-cycle margins. The 12% base rate is what beta 3.89, the Qualcomm litigation, RISC-V encroachment, and SoftBank/Arm-China related-party concentration demand. The old model ran 3.5% perpetual growth at peak margins; that terminal math is gone.

Scenario	Yr-10 rev.	10-yr CAGR	Yr-10 FCF margin	Discount	Term. g	Fair value
Bear (25%)	\$8.3B	5.3%	25%	14.5%	1.0%	\$17.22
Base (50%)	\$21.9B	16.1%	32%	12.0%	2.0%	\$45.96
Bull (25%)	\$32.3B	20.7%	33%	10.5%	2.5%	\$81.48
Probability-weighted	—	—	—	—	—	\$47.66 → \$48 target

Scenario fair values vs. current price (\$)



Reverse DCF — the key exhibit. The \$307 price (EV \$325.0B) demands year-10 free cash flow of ~\$92B on the base-case interim path — i.e. ~\$287B of FYE36 revenue at 32% FCF margins. That is **~11.5x management's own \$25B FYE31 bull plan**. The market is not pricing the plan, or the plan plus a premium: it is pricing a decade of flawless execution at a scale no one — including management — has ever guided to. Even the bull case, which haircuts management's plan to ~\$17B by FYE31 (\$9B IP + \$8B CPU) and compounds at 20.7% for a decade, is worth only \$81.48.

Multiples cross-check. Trailing P/E ~313x; FY27E non-GAAP P/E ~140x; P/S 66.7x TTM; EV/Sales ~53x FY27E. Even against 35-40% EPS growth, the PEG is ~3.5x+. Street consensus (~\$306, Moderate Buy) sits essentially at the price — there is no margin of safety even in the sell-side's numbers. For context, the stock traded at \$453 in June 2026; the 32% drawdown has derated the multiple without repairing the arithmetic.

Our fair price. The probability-weighted 10-year DCF is **\$48** (bear \$17.22 / base \$45.96 / bull \$81.48) — **84% below** the \$307.49 reference price. The old \$140 target rested on 3.5% perpetual growth at peak margins; the hardened model cuts terminal growth to $\leq 2.5\%$ on normalized margins and prices a 12% discount. No management anchoring, no multiple overrule: \$48 is the math.

9. Risks and catalysts

Key risks:

Valuation / multiple compression (primary): at 63x sales, any growth disappointment is punished violently — the stock has already shown 30%+ drawdowns twice in a year. Beta 3.89.

Legal overhang: Qualcomm countersuit trial (expected Q4 2026) and Arm's Third Circuit appeal; an adverse outcome further weakens ALA pricing power.

RISC-V substitution by top customers: Qualcomm-Ventana silicon from 2027; Meta MTIA on RISC-V. Each defection emboldens the next negotiation.

First-party silicon execution: Arm has never sold chips at scale; ~30% GMs dilute the story; TSMC capacity caps the ramp; competing with customers risks the 'Switzerland' model.

Concentration: SoftBank control (86.4%), 30% related-party revenue, Arm China exposure, smartphone cyclicality.

What would change our mind (catalysts to watch):

CSS royalty mix inflecting datacenter royalties to 3x+ with disclosed per-chip economics; AGI CPU supply secured well beyond \$1B with >40% gross margins on Gen 2; a decisive legal settlement with Qualcomm restoring ALA leverage; or the stock reaching our \$48 target — at which point the risk/reward on this franchise turns attractive.

10. Recommendation

SELL — 12-month target \$48 (vs \$307.49, -84%), High risk.

Arm Holdings is a wonderful business and a bubble-priced stock. The IP franchise — 92.5% gross margins, \$3.4B net cash, a royalty stream that compounds with every chip shipped, and a software moat no competitor can replicate quickly — deserves a premium multiple. It does not deserve *this* multiple. Our hardened 10-year scenario DCF puts fair value at \$48 (bear \$17.22 / base \$45.96 / bull \$81.48); even the bull case, which haircuts management's \$25B FYE31 plan and compounds revenue at 20.7% for a decade, is worth only \$81 — 74% below the market price. The market demands ~\$287B of FYE36 revenue, 11.5x management's own bull plan. That is not a price; it is a fantasy.

We are not short the franchise; we are short the price. Existing holders should sell: there is no scenario in the model that lets a buyer at \$307 break even. We would upgrade to HOLD near our \$48 fair value and to BUY only below ~\$40, where the base case offers real upside. **Falsification:** if year-10 revenue is tracking $\geq$ \$24B with FCF margins $\geq$ 34% — the base case compounding faster than we model — the SELL is wrong and the call must be revisited.

Disclosures & methodology. This is independent research analysis, not personalized investment advice. Reference price \$307.49 (Nasdaq close, Oct 2, 2026). Valuation: hardened 10-yr scenario DCF on free cash flow, discounts 14.5% / 12.0% / 10.5%, terminal growth 1.0% / 2.0% / 2.5% on normalized yr-10 margins, 25/50/25 probability weights; reverse DCF; multiples cross-check. Financial data: company 6-K/earnings materials (FY2026, Q1 FY27), SEC 20-F, and market data feeds; figures as reported, rounded. Forward estimates are the analyst's scenarios, not company guidance, except where attributed to management. Risks include those described above; past performance does not predict future results.